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From the Global Director of Research | North America

Charts That Caught My Eye

A guiding principle at Morgan Stanley Research is to enhance your investment process by delivering unique insights that separate the signal from the noise. An intuitively designed and well-crafted chart can often accomplish this with exceptional clarity.

With that mission in mind, these charts in our recently published research stood out to me.

1. **Quant Equity Strategy:** We recommend remaining invested in Price Momentum, which tends to rebound most after severe drawdowns.
2. **Korea Equity Strategy:** We believe AI-related concerns have been largely priced in and the worst appears to be behind us.
3. **US Equity Strategy:** We expect leadership to rotate from Low Quality toward High Quality (stable earnings, strong margins, operating efficiency).
4. **US Consumer:** Our AlphaWise survey indicates that consumers' confidence in the US economic outlook weakened in July.
5. **Tech Diffusion – AI:** our new bottom-up GenAI ROIC frameworks show paths to 25-40% ROIC for AI inference business models.
6. **France Equity / Rates / FX Strategy:** Look for uncertainty to remain an overhang into the 2027 elections.
7. **Asia Economics:** We believe Asia's growth and inflation are more insulated from El Niño effects than in past cycles.
8. **Tech Diffusion – Humanoids:** Global Humanoids funding in 2025 was 3x the 2024 level, and the 2026 YTD level is already above full-year 2025.

Please reach out to me with feedback on these or any other key investment debates. Thank you for your partnership.

Katy Huberty

Global Director of Research

MORGAN STANLEY & CO. LLC

Katy L. Huberty, CFA

Global Director of Research

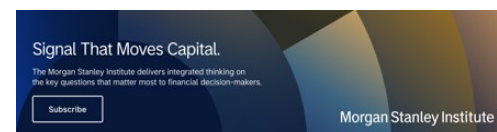
Kathryn.Huberty@morganstanley.com

+1 212 761-6249

Morgan Stanley Research

Analyst

erteam@morganstanley.com



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Quant Equity Strategy

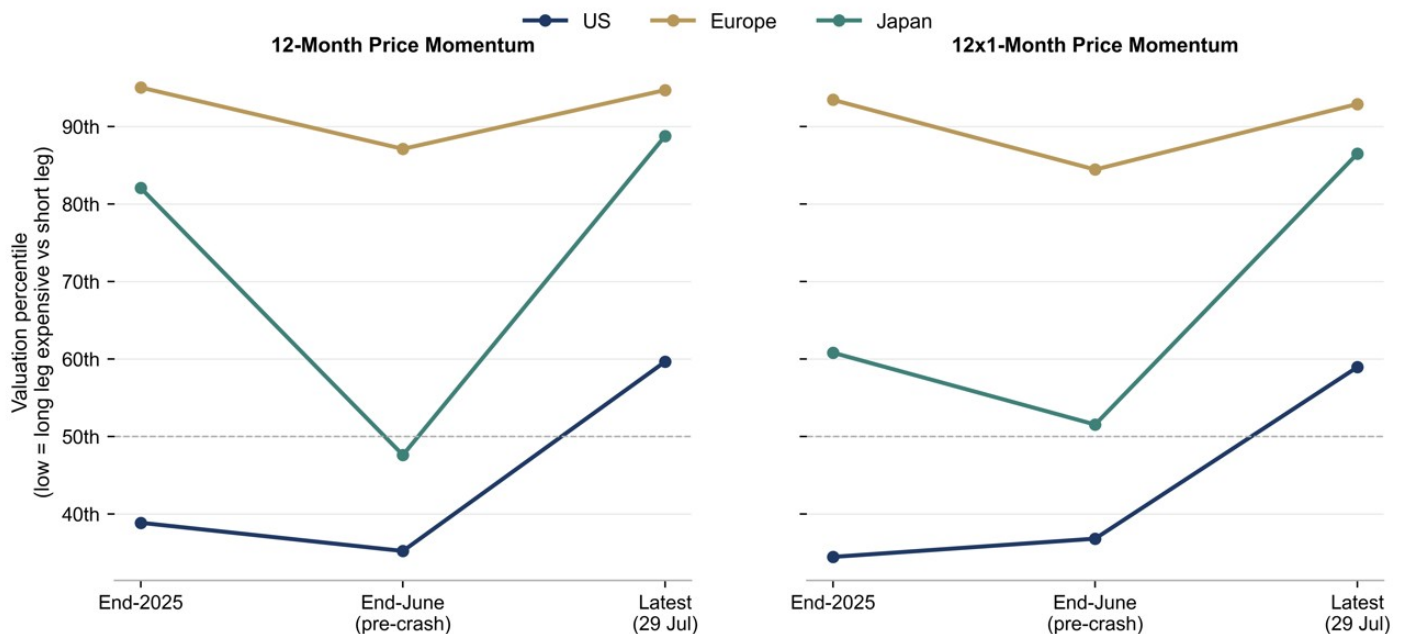
Stay Invested In Momentum

Momentum became stretched during the first half of 2026, but after the drawdown in late July, our Momentum Valuation measure* suggests US Momentum valuation has normalized, Japan has round-tripped, while Europe never looked rich (Note: *Higher scores correspond to less expensive valuations*). Based on historical analogues, we recommend remaining invested in Price Momentum, which tends to rebound most after severe drawdowns, with mean forward returns typically positive across factors, regions, and horizons.

* A long-leg/short-leg book-to-price percentile vs. 30-year history, rebased daily

See [AI Momentum Breaks: Go Residual, Follow Earnings \(30 Jul 2026\)](#)

Exhibit 1: US Momentum Valuation Has Normalized; Japan Round-Tripped; Europe Never Was Rich Daily-rebased long-leg/short-leg book-to-price percentile vs. 30-year history (higher score = less expensive)



Source: Morgan Stanley Research, Bloomberg, Datastream. Data as of 29 July 2026. Factor valuation is measured as the ratio of valuation median of factor Q1 to valuation median of factor Q5, then converted to its full-sample percentile rank.

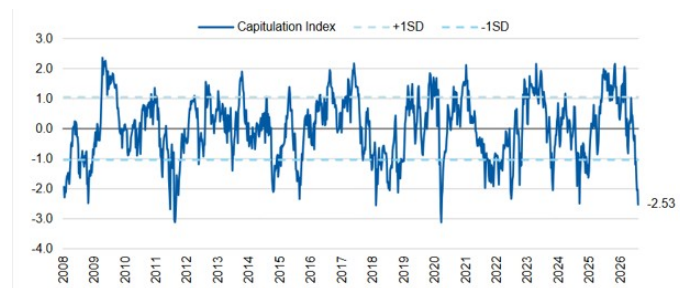
Korea Equity Strategy

The Worst Appears to Be Over, but Broadening Is Key to Re-Rating

We believe AI-related concerns have been largely priced in, and we are comfortable making a call that the worst appears to be behind us. Our capitulation index is at a historical low for non-crisis periods, our technical analysis points to unwinding of leveraged ETFs, and hedge fund de-grossing appears to be at the tail end. We believe re-rating from here now depends on broad-based recovery, and we note that non-Tech sectors are seeing improving earnings revisions for 2026 and 2027 (importantly, Tech sector earnings trends also are still strong). We keep our KOSPI target at 9,000 (implying roughly 35% upside from here); our Bull case is 10,500 (+60%) and our Bear case is 5,500 (-15%).

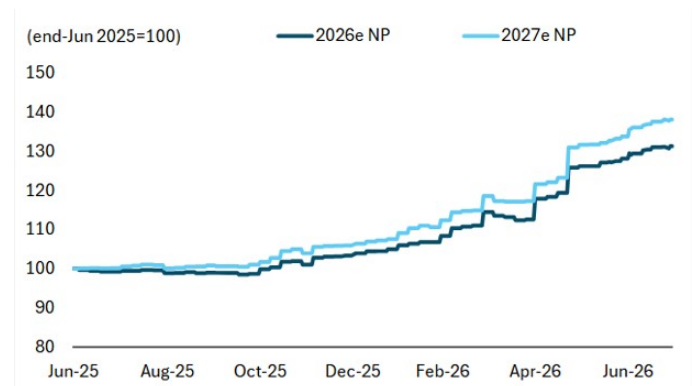
See [Korea Still Has Mojo \(2 Aug 2026\)](#)

Exhibit 2: Our Capitulation Index



Source: Factset, Morgan Stanley Research, Data as of Jul 30, 2026

Exhibit 3: KOSPI ex-IT Net Profit Revision



Source: WiseFN, Morgan Stanley Research, Data as of July 29, 2026

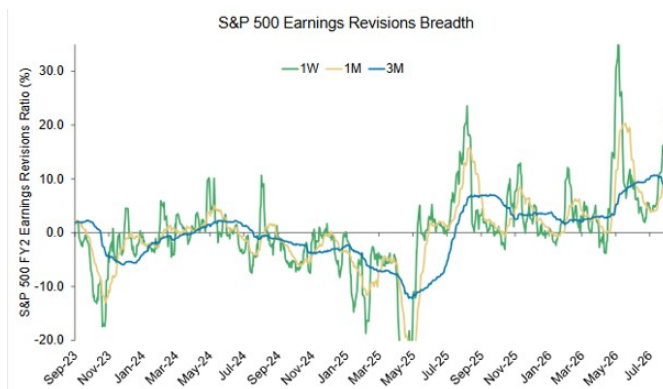
US Equity Strategy

An Early-to-Mid Cycle Transition Has Begun, Favoring Quality

As the business cycle matures and post-recession operating leverage moderates, we believe leadership should rotate from low quality toward companies with more stable earnings, strong margins, and operational efficiency. With High Quality representing 42% of the S&P 500 (versus 28% for low quality) – and median stock earnings growth accelerating to 14% as revisions breadth improves – the setup should support greater index resilience, broader participation and 8,000 on the S&P by year-end, in our view.

See [Weekly Warm-up: From Early Cycle to Mid Cycle \(3 Aug 2026\)](#)

Exhibit 4: Our Highest Frequency Earnings Revisions Breadth Gauge Is Inflecting Again



Source: FactSet, Morgan Stanley Research.

Exhibit 5: Quality Leadership Clearly Emerging



Source: Compustat, Morgan Stanley Research.

US Consumer

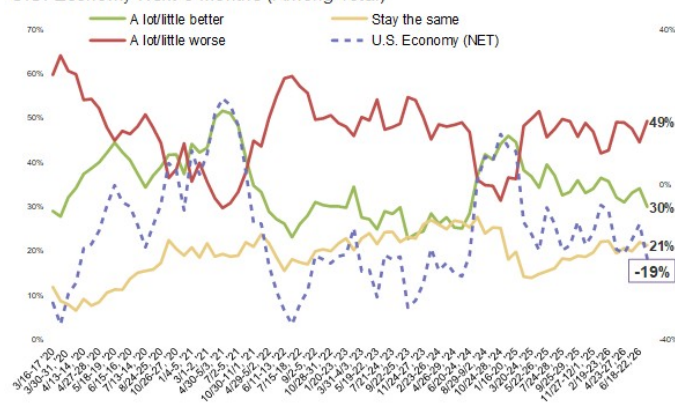
Confidence in the Economy Slips

Our AlphaWise survey of ~2,000 US consumers (conducted July 23–27) indicates that after two consecutive months of improvement, respondents' confidence in the US economic outlook weakened. Almost half (49%) expect the economy to get worse in the next 6 months vs. only 30% expecting it to improve, which drove the Net Outlook score down to -19% (from -10% in our mid-June survey). In contrast, consumers' sentiment about their own household finances remains near recent highs, with a Net Outlook of +22% (vs. +24% last month and +10% a year ago). We note that the Net Outlook data from our survey shows a moderate correlation to The University of Michigan Index of Consumer Sentiment and The Conference Board Consumer Confidence Index.

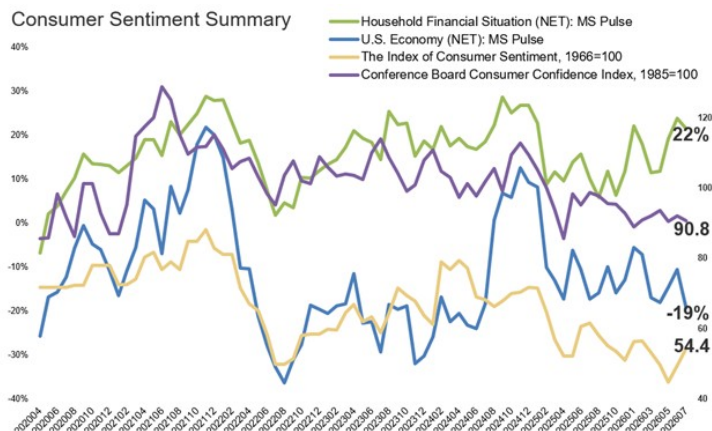
See [US Consumer Pulse Survey: Back-to-School Spending Holds Firm as Macro Confidence Slips \(3 Aug 2026\)](#)

Exhibit 6: Consumers Sentiment on the US Economy Declines

U.S. Economy Next 6 Months (Among Total)



Consumer Sentiment Summary



Source: AlphaWise, Morgan Stanley Research

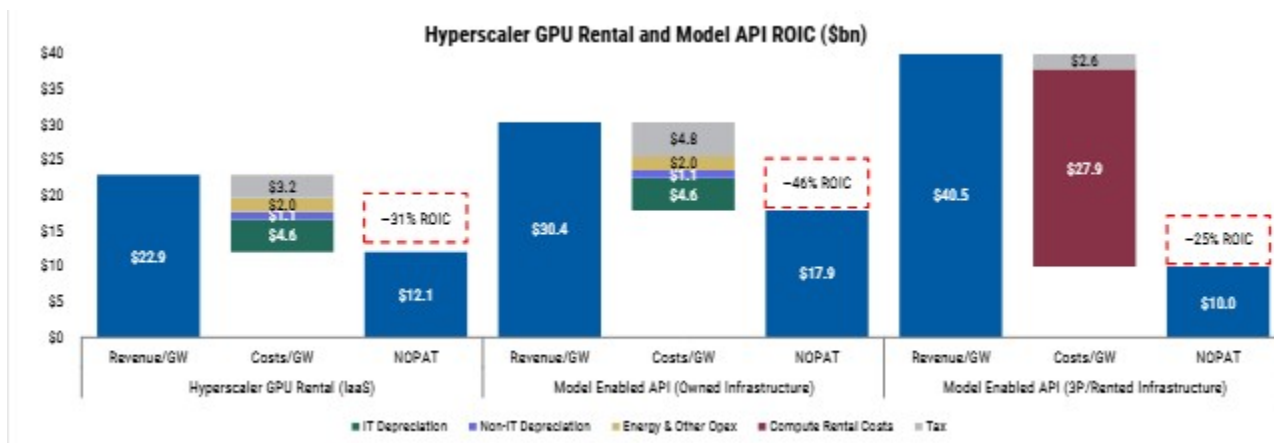
Tech Diffusion – AI

The Paths to 25-50% GenAI ROIC

AI capex and model training spend are surging, and many investors are questioning the ROIC proposition. We are bullish these investments, as our new bottom-up GenAI ROIC frameworks show paths to 25-40% ROIC for GPU rental, 40%+ for owned-infrastructure APIs, and roughly 25% for third-party-hosted API. Taken together, these analyses underscore the importance of continued investment and innovation by model labs to reduce token costs and improve token efficiency, reinforcing our bullish outlook on Amazon, Alphabet, Microsoft, and META.

See [The Paths to 25-50% GenAI ROIC \(27 Jul 2026\)](#)

Exhibit 7: We see attractive incremental unit economics and ROIC (25%+) on the three main business models set to emerge through the age of AI inference.



Source: Company data, Morgan Stanley Research Estimates. Note the "ROIC" on a Model-Enabled API running on 3P infrastructure is illustrative and represents revenue, adjusted for training capacity (training costs typically expensed in opex) less the rental cost of compute (COGS), taxed at 21%.

France Equity / Rates / FX Strategy

Expect Uncertainty to Remain Elevated into the 2027 Elections

France faces elevated policy uncertainty and constrained fiscal reform through the 2027 elections. Our analysis of 90+ presidential elections suggests that elections should start to get priced 4-6 months before the event – in this case, from about November – and we expect French equities to trade with increased overhang as investors avoid positioning into a period of headline risk. We expect French government bonds to continue to underperform EU peers in coming months. In FX, we expect investors to price in more EUR-negative risk premium associated with the election.

See [A Comprehensive Framework Ahead of French Elections \(28 Jul 2026\)](#)

Exhibit 8: Equities tend to start pricing election outcomes 4-6 months ahead of the event

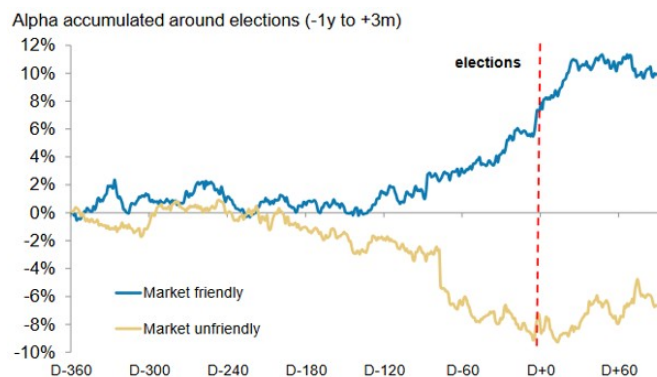
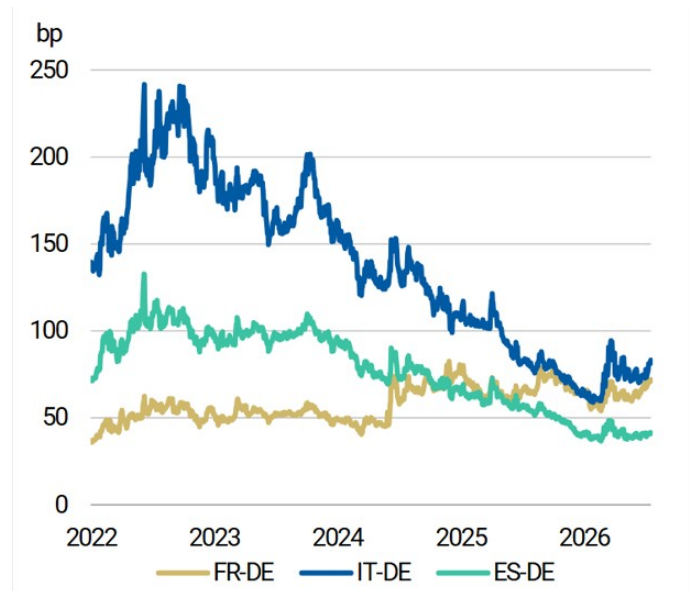


Exhibit 9: French bonds have been underperforming within the EGB space



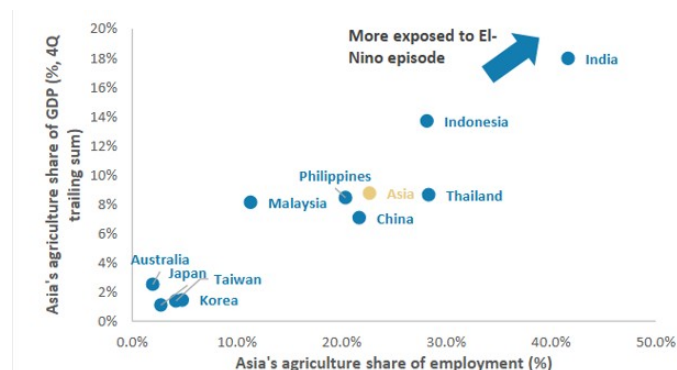
Asia Economics

Strong El Niño, Moderate Effect

This year's El Niño is set to be one of the strongest on record, likely bringing dry conditions to India, Southeast Asia and Australia through early spring 2027. In terms of risk to macro growth, we see Asia as more insulated vs. past cycles given higher grain reserves, lower food CPI weights, and an industrial and capex super-cycle that we believe is well underway. That said, India and Indonesia look relatively more exposed to downside risk. For inflation, El Niño tilts the balance of risk toward higher inflation and thus earlier / more rate hikes.

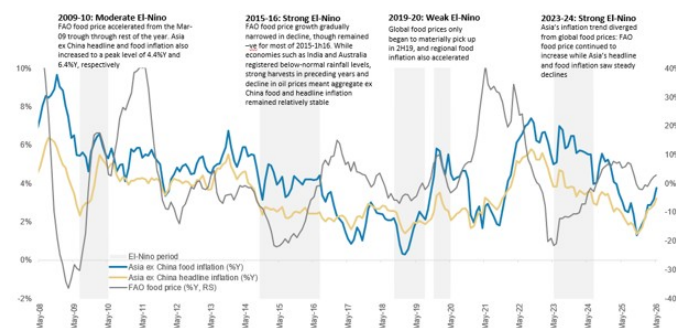
See [Strong El Niño, Moderate Effect \(28 Jul 2026\)](#)

Exhibit 10: From a growth perspective we see India as most exposed to El Niño, followed by Indonesia



Source: Haver, CEIC, Morgan Stanley Research

Exhibit 11: El Niño tends to lead to higher inflation in Asia, but there may be mitigating factors this cycle



Source: CEIC, National Weather Service, Morgan Stanley Research

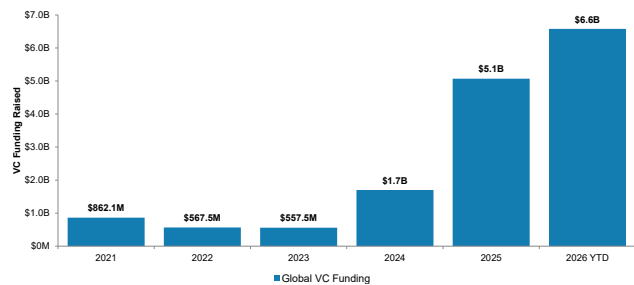
Tech Diffusion – Humanoids

Venture Funding Continues to Accelerate

Financing of Humanoids ventures continues to grow rapidly. Globally, Humanoids funding in 2025 was triple the 2024 level, and the 2026 YTD level is already above full-year 2025. And although China is already further along the Humanoids development curve than most of the world, financing activity for the sector remains robust.

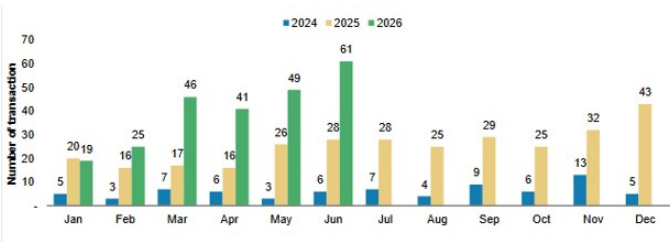
See [Humanoid Horizons: Do Robots Have a PR Problem? \(28 Jul 2026\)](#)

Exhibit 12: 2026 Global Venture Funding for Humanoid Robots Has Already Exceeded the Sum of 2025



Note: As of 7/15/2026. Includes funding for companies classified under 'Humanoid Robotics' in PitchBook. Source: PitchBook, Morgan Stanley Research

Exhibit 13: China Humanoids Financing Activities



Source: Note: Includes all notable funding disclosed based on our knowledge and research. However, there may still be some not captured. We updated number of transaction in previous months with transaction announced after our published previous Humanoids Horizon. Source: Company announcement, GGII, Morgan Stanley Research.

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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